



Reasons to be Bullish

The building blocks are in place for 7-8% growth for a prolonged period; India's focus should be on sustaining this momentum to become a developed nation

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I HAVE BEEN a regular visitor to India for more than three decades, and every visit has been an invigorating experience. I have witnessed first-hand the significant changes in the economic landscape of the country. It is this economic transformation that gives India the runway to achieve its ambition of becoming a 'developed' nation by 2047, which also marks its 100th year of Independence.

In the face of global challenges such as the geopolitical tensions swirling around us all and multi-decade-high inflation, India has the potential to generate differentiated success. Of course, as with every substantial undertaking, there are hurdles to overcome, but with a fast-growing economy driven by investment, innovation, and demographics together with macroeconomic indicators, India has a real opportunity to seize.

It took Independent India six decades to become a \$1-trillion econ-

omy. Between 2007 and 2018, it more than doubled its GDP to \$2.7 trillion. From 2018 to 2028, India is expected to emerge as the third-largest economy in the world, with a GDP of close to \$6 trillion.

An important foundation of India's economic resilience has been macro-stability, driven by consistent policymaking over the last decade. An outcome of this consistency is evident in the confidence to sustain 7% GDP growth. A key positive indicator has been the narrowing of the current account deficit over the last decade, due to the structural upshift in India's services exports—which have now more than doubled in the last seven years and in quantum exceeds Saudi Arabia's oil exports. Schemes like production-linked incentives (PLIs) and a build-up of the fourth-largest foreign exchange reserves of \$667 billion, covering nearly a year of imports, also augur well for economic growth.

Inflation is down from double digits a decade ago to less than 5% and is far less volatile compared to developed markets. Steps by the Reserve Bank of India (RBI) on inflation containment, quality of credit disbursal, and resilience of the banking sector are supported by the government's commitment to balancing

fiscal prudence and productive capital expenditure.

Global investors are optimistic about India. Apart from the strong macros, India benefits from the emphasis on both physical and digital infrastructure creation, a demographic dividend with a large English-speaking population, a robust energy transition road map, and commitment to social and economic uplift of its citizens.

CROWDING IN

Central to India's growth story is the government's focus on infrastructure, with capital expenditure increasing at a CAGR of 27% over the last five years. In the past decade, India has built three times more infrastructure than it had in the previous 60 years, with the highway network, port, and airline capacity doubling. With this context, it is important to note that between 1950 and 1989, approximately a quarter of the US's productivity increase was attributable to investments in highways, indicating the multiplier effect that accrues with such investments.

This increase in government capital expenditure has been accompanied by a remarkable increase in tax buoyancy at both corporate and individual levels. Tax collections have